

Finova Capital Private Limited

September 16, 2026

Facilities/Instruments	Name of the Regulator ¹	Amount (₹ crore)	Rating ²	Rating Action
Long-term bank facilities	RBI	3,015.00	CARE A; Stable	Reaffirmed

Details of instruments/facilities in Annexure-1.

Rationale and key rating drivers

The rating reaffirmation factors in Finova Capital Private Limited's (FCPL's) demonstrated ability to attract equity at regular intervals, which has strengthened its capital structure. The rating continues to factor in the company's experienced promoters, ability to raise funds at competitive rates, and continued business uptick. FCPL's asset under management (AUM) increased by 10% year-on-year to ₹3,827.78 crore as on March 31, 2026, and further stood at ₹4,000.70 crore as of June 30, 2026.

However, these rating strengths are partially offset by moderation in asset quality emanating from the company's exposure to a relatively vulnerable borrower segment and moderate geographical concentration. The moderation in asset quality is reflected in the increase in the stressed assets/net advances ratio³ increased to 5.95% as of June 30, 2026, which was 5.12% as of March 31, 2026 [PY: 2.79%]. Rising slippages due to the company's presence in lower ticket-size loans and portfolio seasoning are expected to lead to elevated credit costs in FY27. CARE Ratings Limited (CareEdge Ratings) notes that the company has sufficient provisioning and capital buffers.

Rating sensitivities: Factors likely to lead to rating actions

Positive factors: Factors that could individually or collectively lead to positive rating action/upgrade:

- Profitable scale-up in business growth with comfortable asset quality and return on total assets (ROTA) above 4.5% on a sustained basis.
- Consistently attracting capital from diversified sources at competitive rates.

Negative factors: Factors that could individually or collectively lead to negative rating action/downgrade:

- Deteriorating asset quality leading with net non-performing asset (NNPA) exceeding 2.5% levels on a sustained basis.
- Weakening of capital structure with gearing remaining above 3.5x on a sustained basis.
- ROTA remaining below 2% on a sustained basis.

Analytical approach:

Standalone

Outlook: Stable

The Stable outlook reflects the likely continuation of profitable business growth complemented by healthy resources raising ability and adequate capitalisation levels.

Detailed description of key rating drivers

Key strengths

Experienced promoters

FCPL is promoted by Mohit Sahney, Managing Director and Chief Executive Officer (MD and CEO), and Sunita Sahney, Executive Director (ED), who collectively hold 17% stake (on a diluted basis) in the company as on June 30, 2026. Mohit Sahney has over 28 years of industry experience with institutions, such as ICICI Bank. Sunita Sahney has over 24 years of industry experience and was earlier associated with institutions, such as Shyam Telelink and Tata Teleservices. Promoters have driven growth in the company's operations through sound risk management while also demonstrating a strong ability to attract capital. The company also has a strong Board with representatives from private equity (PE) investors, including G V Ravishankar (from Peak XV), Cchatardeep Dua (from Peak XV), and Aditya Deepak Parekh (from Faering Capital [FC]), who are nominee directors on the Board.

¹SEBI: Securities and Exchange Board of India; RBI: Reserve Bank of India; MCA: Ministry of Corporate Affairs; IRDAI: Insurance Regulatory and Development Authority of India; PFRDA: Pension Fund Regulatory and Development Authority.

²Complete definitions of ratings assigned are available at www.careratings.com and in other CARE Ratings Limited's publications.

³ Stressed assets/Net Advances = (NNPA+SRs)/Net Advances

Arjun Dan Ratnoo (ex-banker and ex-Chief General Manager at NABARD) and Sathyan David (ex-CGM, DNBS Head and RH of Rajasthan at Reserve Bank of India [RBI]) are independent directors on the Board.

Comfortable capital structure with demonstrated resources raising ability

Over the last few years, FCPL has demonstrated the ability to attract funds at regular intervals. So far, it has successfully concluded five rounds of fundraising since inception, aggregating ₹1,450 crore (average three-year return on net worth 11.50%). Consequently, gearing stood at 1.33x as on March 31, 2026, against 1.23x as on March 31, 2025, and at 1.32x as on June 30, 2026. On the capitalisation front, capital adequacy ratio (CAR) and Tier-I CAR as on March 31, 2026, stood at 43.02% (PY: 47.15% and 47.08%, respectively), and further stood at 43.73% and 43.29%, respectively, as on June 30, 2026. CareEdge Ratings expects gearing levels to remain below 3x in the medium term.

As of March 31, 2026, FCPL's borrowing profile comprised private banks accounting for 57.5% of total funding (PY: 55.3%), followed by public sector undertakings (PSU) banks at 17.2% (PY: 11.6%), non-banking financial companies (NBFCs) at 16.2% (PY: 17.3%), small finance banks at 3.9% (PY: 6.2%), and other sources at 5.2% (PY: 9.6%). The company's average cost of borrowings remained competitive at ~9.2% (all-inclusive) in FY26 and Q1FY27, compared to 9.5% in the previous year, reflecting its continued ability to access funding at favorable rates. The lender concentration remained moderate, with top five lenders accounting for 27% of total borrowings as of March 31, 2026, compared to 26% as of March 31, 2025.

CareEdge Ratings expects that FCPL will continue to have a comfortable capital structure in the near-to-medium term.

Financial performance remains comfortable despite some moderation in profitability

The company's disbursements witnessed a decline of 17% in FY26 and stood at ~₹1,161.98 crore against ₹1,396.63 crore in FY25, due to cautious lending, considering the increase in slippages. The company has strengthened its collection team and increased the growth momentum by disbursing ₹406.77 crore in Q1FY27 against (PY: ₹264.50 crore). The company's net interest margins (NIMs) stood at 14.26% as on March 31, 2026 (14.55% as on June 30, 2026), against 14.55% as on March 31, 2025. The operating expense remained high in FY26 at 7.17% (PY: 6.31%), as the company hired 634 new employees. The company witnessed a sharp increase in credit costs to 2.73% in FY26 from 1.13% in FY25, considering increased slippages in the lower ticket-size loan segment and portfolio seasoning. Credit cost remained range-bound at 2.46% in Q1FY27 (PY: 2.74%). Owing to these factors, ROTA stood at 3.57% in FY26 (PY: 4.97%) and reduced further to 3.40% in Q1FY27.

Key weaknesses

High geographical and product segment concentration, although improving

FCPL's loan portfolio is concentrated, with micro, small and medium enterprise (MSME) financing dominating the mix at ~92.07% share as on June 30, 2026, with the balance coming from loan against property (LAP)/housing loans at 7.71% and personal loans at 0.22%. Within MSME financing, the company has an average ticket size of ~₹5 lakh and primarily caters to a self-employed clientele. While the company continues to have a conservative loan-to-value (LTV) ratio of 40%, the portfolio is exposed to credit risks emanating from a vulnerable borrower profile with a seasonal nature of cash flows.

Despite the improvement in geographical diversification, FCPL's operations remain concentrated in Rajasthan, with the state accounting for 52% of the total loan portfolio as on March 31, 2026 (March 31, 2025: 54%). Top three states, namely Rajasthan, Madhya Pradesh, and Punjab, accounted for 71% of the outstanding portfolio as on March 31, 2026 (March 31, 2025: 74%). In the last two years, the company has been expanding in newer states, such as Maharashtra, Karnataka, Andhra Pradesh, Telangana, Himachal Pradesh, and Tamil Nadu.

Moderate asset quality susceptible to shocks

FCPL primarily operates in the micro-LAP segment (average ticket size of ₹5 lakh), which constituted 100% of the AUM as on March 31, 2026 (PY: 100%). CareEdge Ratings notes that the segment has been witnessing a rise in delinquencies owing to borrower vulnerability caused by overleveraging and general portfolio seasoning amid rapid industry growth. Consequently, the company's slippage ratio increased in FY26 to 8.44% against 5.99% in FY25, mainly led by delinquencies in loans, having a ticket size lower than ₹3 lakh, which further stood around 5.48% for Q1FY27. As on March 31, 2026, gross non-performing assets (GNPAs) and net non-performing assets (NNPAs) stood at 3.22% and 1.92%, respectively (PY: 2.39% and 1.41%, respectively). They stood at ~2.94% and ~1.79%, as on June 30, 2026, respectively. FCPL's NNPA/tangible net worth stood at 3.55% as on March 31, 2026 (PY: 2.53%) and further stood at ~3.33% as on June 30, 2026. The company undertakes sale to asset reconstruction company (ARC) transactions involving security receipts, considering better recovery, and their balance stood at ~₹118.74 crore (3.10% of the AUM) as on March 31, 2026, against ₹45.10 crore (1.30% of the AUM) as on March 31, 2025, which further increased to ₹138.12 crore (3.45% of the AUM) as on June 30, 2026. As a result, stressed assets/net advances

ratio⁴ increased to 5.95% as of June 30, 2026, which was 5.12% as of March 31, 2026 [PY: 2.79%]. Further, the stressed assets-to-tangible net worth ratio⁵, which rose to 9.30% as of March 31, 2026, from 4.97% as of March 31, 2025, and further increased to around 9.90% as of June 30, 2026.

While CareEdge Ratings expects some moderation in asset quality, with GNPA levels at ~3.5% by FY27-end, FCPL's ability to maintain provisioning provides comfort, with a stage 3 provision coverage ratio of 40.38% as on March 31, 2026 (PY: 41.43%).

Liquidity: Adequate

As on June 30, 2026, FCPL's liquidity has remained adequate with positive cumulative mismatches across time buckets. For the next one year, the company has debt obligations (including interest repayments) of ₹1,183.94 crore compared to the inflows from loan portfolio of ₹1,802.60 crore. FCPL has unencumbered cash and bank balance of ₹67.03 crore, investments of ₹747.02 crore (in non-convertible debentures/commercial papers/mutual funds) and undrawn sanction lines to the tune of ₹140.15 crore, which provides additional comfort.

Assumptions/Covenants

Not applicable

Environment, social, and governance (ESG) risks

Not applicable

Applicable criteria

[Policy on Default Recognition](#)

[Financial Ratios - Financial Sector](#)

[Assigning 'Outlook' or 'Rating Watch' to Credit Ratings](#)

[Non Banking Financial Companies](#)

About the company and industry

Industry classification

Macroeconomic indicator	Sector	Industry	Basic industry
Financial services	Financial services	Finance	Non-banking financial company (NBFC)

FCPL is a systematically important non-deposit taking NBFC incorporated in Rajasthan in 2015. It is primarily engaged in the financing of secured MSME loans (micro-LAP). The company provides loans to micro-entrepreneurs and semi-skilled professionals, who have limited or no access to lending from formal financing institutions. Consequently, FCPL has adopted a business model where credit appraisal is done based on a cash flow analysis of borrower instead of credit history.

FCPL has PE/ venture capital (VC) investors on board, such as FC, Peak XV, Norwest Capital, Maj Invest, Sofina Ventures, Avataar Venture Partners, and Madison India. FCPL's loan book stood at ₹4,000.70 crore as of June 30, 2026. FCPL operates through 455 branches in across 17 states and is currently serving one lakh+ customers.

Brief Financials (₹ crore)	31-03-2025	31-03-2026	Q1FY27
	A	A	UA
Total income	762.34	922.10	250.91
Profit after tax (PAT)	185.00	165.30	41.95
Assets under management (AUM)	3,476.98	3,827.78	4,000.70
On-book gearing (x)	1.23	1.33	1.32
AUM / tangible net-worth (TNW) (x)	1.81	1.85	1.90
Gross non-performing assets (NPA) / gross stage 3 (%)	2.39	3.22	2.94
Return on managed assets (ROMA) (%)	NA	NA	NA
Capital adequacy ratio (CAR) (%)	47.15	43.02	43.73

A: Audited; UA: Unaudited; Note: These are latest financial results available.

NA: Not applicable

⁴ Stressed assets/Net Advances = (NNPA+SRs)/Net Advances

⁵ Stressed Asset/Tangible Net worth: (NNPA+SRs)/Tangible Network

Status of non-cooperation with previous CRA:

Not applicable

Any other information:

Not applicable

Rating history for last three years: Annexure-2**Detailed explanation of covenants of rated instrument / facility:** Annexure-3**For complexity level of instruments rated refer to Annexure-1.****Lender details:** Annexure-4**Disclosure on facilities/instruments and name of regulators:**

A list of facilities / instruments falling under the purview of financial sector regulators (FSRs) along with the names of respective FSRs has been duly disclosed by CareEdge Ratings on its website. A link to the same has been provided below for ready reference:

https://www.careratings.com/activities_and_regulators

Note: For facilities or instruments falling under the purview of FSRs other than Securities and Exchange Board of India (SEBI), the grievance / dispute redressal mechanisms and investor protection mechanisms provided by SEBI shall not be available.

Annexure-1: Details of instruments/facilities

Name of the Instrument	Name of the Regulator	Complexity Level	ISIN	Date of Issuance (DD-MM-YYYY)	Coupon Rate (%)	Maturity Date (DD-MM-YYYY)	Size of the Issue (₹ crore)	Rating Assigned and Rating Outlook
Fund-based - LT-Bank Overdraft	RBI	Simple	-		-	-	30.00	CARE A; Stable
Fund-based - LT-Term Loan	RBI	Simple	-		-	20-06-2030	2985.00	CARE A; Stable

Annexure-2: Rating history for last three years

Sr. No.	Name of the Instrument/Bank Facilities	Current Ratings			Rating History			
		Type	Amount Outstanding (₹ crore)	Rating	Date(s) and Rating(s) assigned in 2026-2027	Date(s) and Rating(s) assigned in 2025-2026	Date(s) and Rating(s) assigned in 2024-2025	Date(s) and Rating(s) assigned in 2023-2024
1	Fund-based - LT-Term Loan	LT	2985.00	CARE A; Stable	-	1)CARE A; Stable (08-Sep-25)	1)CARE A; Stable (10-Sep-24) 2)CARE A; Stable (23-Apr-24) 3)CARE A; Stable (03-Apr-24)	1)CARE A-; Positive (03-Jan-24) 2)CARE A-; Positive (12-Sep-23)
2	Fund-based - LT-Bank Overdraft	LT	30.00	CARE A; Stable	-	1)CARE A; Stable (08-Sep-25)	1)CARE A; Stable (10-Sep-24)	-

LT: Long term

Annexure-3: Detailed explanation of covenants of rated instruments/facilities: Not applicable**Annexure-4: Lender details**To view lender-wise details of bank facilities please [click here](#)**Annexure-5: List of entities consolidated:** Not applicable

Note on complexity levels of rated instruments: CareEdge Ratings has classified instruments rated by it based on complexity. Investors/market intermediaries/regulators or others are welcome to write to care@careedge.in for clarifications.

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